

# Warren Buffett's \$4.3 Billion Google Bet: Investment Education Workbook

## A Companion Guide to Understanding Value Investing in the AI Era

---

### Welcome to Your Investment Education Journey

This workbook is designed to help you think critically about investment decisions and understand the principles behind Warren Buffett's recent Google purchase. By working through these exercises, you'll develop skills to analyze companies and make more informed investment decisions.

**Important:** This workbook is for educational purposes only. It does not provide personalized investment advice. All investing involves risk, including potential loss of principal. Always consult with a qualified financial advisor before making investment decisions.

---

### Part 1: Understanding the Investment Thesis

#### Key Concept: Contrarian Investing

Warren Buffett is famous for saying: "Be fearful when others are greedy, and greedy when others are fearful."

**What This Means:** When everyone is excited about a stock and buying it, prices might be too high. When everyone is scared and selling, there might be good opportunities to buy quality companies at fair prices.

#### The Big Picture: What Happened?

**The Facts:** - Warren Buffett's company (Berkshire Hathaway) bought **\$4.3 billion** worth of Google stock - This makes Google Berkshire's **10th largest holding** - This happened while many people were worried about: - AI disruption threatening Google's search business - Market bubble fears - High stock valuations

#### Reflection Questions

**Question 1:** Why do you think Buffett would buy a tech stock when many people are worried about a market bubble?

*Write your thoughts here:*

---

---

---

**Question 2:** What does it mean when an investor like Buffett makes a move that surprises everyone? What might he be seeing that others are missing?

*Write your thoughts here:*

---



---



---



---

## Part 2: Narrative vs. Data

### Key Concept: Don't Let Stories Override Facts

One of the most important lessons from this case study is the difference between what people *say* is happening and what the *numbers* show is actually happening.

### The Narrative (What People Were Saying)

“Google’s search monopoly is being destroyed by ChatGPT. AI will kill Google’s business model. The company is in trouble.”

### The Data (What Actually Happened)

Let’s look at Google’s performance AFTER ChatGPT launched in November 2022:

| Metric                            | Dec 2022 (ChatGPT Launch) | Current (Last 12 Months) | Change                   |
|-----------------------------------|---------------------------|--------------------------|--------------------------|
| <b>Revenue</b>                    | \$283 billion             | \$385 billion            | +\$102 billion<br>(+36%) |
| <b>Operating Income</b>           | \$75 billion              | \$126 billion            | +\$51 billion<br>(+68%)  |
| <b>Operating Margin</b>           | 26%                       | 32%                      | +6 percentage points     |
| <b>Search Revenue (Quarterly)</b> | \$39.5 billion (Q3 2022)  | \$56.6 billion (Q3 2025) | +43%                     |

### Critical Thinking Exercise

**Question 3:** If Google’s business was really being “destroyed” by AI, what would you expect to see in these numbers?

*Write your thoughts here:*

---



---



---

**Question 4:** The actual data shows revenue, profits, and margins all INCREASING. What does this tell you about the “Google is dying” narrative?

*Write your thoughts here:*

---

---

---

**Question 5:** Can you think of a time when you believed something about a company or investment based on what people were saying, but the actual facts told a different story?

*Write your thoughts here:*

---

---

---

---

### Part 3: Understanding Competitive Advantages (Economic Moats)

#### Key Concept: Economic Moats

An “economic moat” is like a protective barrier around a castle. In business, it means a company has advantages that make it very hard for competitors to take away their customers.

#### Google’s Moat

**Market Position:** - Over **90% of internet search market share** (for more than a decade) - Next competitor (Bing) has only about **4%**

**Resources:** - **\$100 billion** in cash and short-term investments - Only **\$26.6 billion** in debt - Could pay off all debt and still have **\$70+ billion** left over

**Competitive Advantages:** - Decades of search data to improve results - Integrated ecosystem (Android, Chrome, YouTube, Gmail) - World-class AI research team (DeepMind) - Custom AI hardware (TPU chips)

#### The Competition: OpenAI/ChatGPT

**Growth:** - Reached 100 million users in just 2 months - Currently at about \$12 billion in annual revenue

**The Challenge:** - Expected to **burn through \$115 billion** through 2029 - Running AI models at scale is extremely expensive - Not yet profitable

#### Comparison Exercise

**Question 6:** Compare these two companies:

**Company A (Google):** - \$385 billion revenue - Generates \$70 billion in FREE CASH FLOW per year - \$100 billion cash, \$26.6 billion debt

**Company B (OpenAI):** - \$12 billion revenue - Burning \$115 billion through 2029 - Needs constant funding to survive

Which company has a stronger competitive position? Why?

*Write your thoughts here:*

---

---

---

**Question 7:** Google has the resources to invest heavily in AI while still making massive profits. How does this give them an advantage in the AI race?

*Write your thoughts here:*

---

---

---

---

## Part 4: Valuation - Is It a Good Price?

### Key Concept: Price vs. Value

Just because a company is good doesn't mean its stock is a good investment. You need to buy it at the right price.

**Warren Buffett's Philosophy:** "It's far better to buy a wonderful company at a fair price than a fair company at a wonderful price."

### Understanding P/E Ratios (Price-to-Earnings)

The P/E ratio tells you how much investors are paying for each dollar of profit a company makes.

**Example:** - If a company earns \$1 per share in profit - And the stock costs \$25 - The P/E ratio is 25 (you're paying \$25 for \$1 of earnings)

**Generally:** - Lower P/E = Cheaper (relative to earnings) - Higher P/E = More expensive (relative to earnings)

### The Magnificent 7 Comparison

| Company                  | Forward P/E Ratio |
|--------------------------|-------------------|
| <b>Alphabet (Google)</b> | 25x               |
| <b>Microsoft</b>         | 29x               |
| <b>Nvidia</b>            | 34x               |

## Valuation Exercise

**Question 8:** Based on P/E ratios, which of these three companies is the “value play” (cheapest relative to earnings)?

*Write your thoughts here:*

---

---

**Question 9:** If you wanted exposure to AI and big tech, why might you choose Google over Nvidia, even though Nvidia is more directly focused on AI chips?

*Write your thoughts here:*

---

---

---

**Question 10:** Buffett said Google is a “wonderful company at a fair price.” What do you think he means by this?

*Write your thoughts here:*

---

---

---

---

## Part 5: Practical Investment Strategies

### Strategy #1: Focus on Profitable Companies

**The Lesson:** Don’t chase hype. Focus on companies that actually make money.

**Question 11:** Why is it important to invest in companies that generate positive cash flow rather than companies that are just growing fast but losing money?

*Write your thoughts here:*

---

---

---

### Strategy #2: Look for Relative Value

**The Lesson:** Even in expensive markets, you can find better deals by comparing similar companies.

**Question 12:** Name one sector or industry you’re interested in. How could you use P/E ratio comparisons to find the best value within that sector?

*Write your thoughts here:*

---

---

---

### Strategy #3: Verify Narratives with Data

**The Lesson:** Always check if the story matches the financial facts.

**Question 13:** What are three financial metrics you should check when evaluating whether a company is actually performing well?

1. 

---
2. 

---
3. 

---

### Strategy #4: Keep Cash Reserves

**The Lesson:** Having cash available lets you take advantage of opportunities when they arise.

**Question 14:** Buffett keeps a large cash reserve (Berkshire had \$350 billion in cash). Why might having cash available be just as important as being fully invested?

*Write your thoughts here:*

---

---

---

### Strategy #5: Invest in Economic Moats

**The Lesson:** Companies with strong competitive advantages can better withstand challenges.

**Question 15:** Think of a company you know well (it could be any company - Apple, Coca-Cola, Amazon, etc.). What is their “economic moat”? What makes it hard for competitors to take their customers?

*Write your thoughts here:*

---

---

---

---

## Part 6: Your Investment Checklist

Based on what you’ve learned, here’s a checklist you can use when researching potential investments:

## Financial Health Checklist

- ☐ **Is the company profitable?** (Check net income)
- ☐ **Is revenue growing?** (Compare year-over-year)
- ☐ **Are profit margins improving or stable?** (Check operating margin)
- ☐ **Does it generate positive free cash flow?** (Cash after expenses and investments)
- ☐ **Is the balance sheet strong?** (More cash than debt is good)

## Competitive Position Checklist

- ☐ **Does the company have an economic moat?** (What protects it from competition?)
- ☐ **Is market share stable or growing?** (Are they gaining or losing customers?)
- ☐ **Can they raise prices without losing customers?** (Pricing power)
- ☐ **Do they have resources to invest in the future?** (R&D, innovation)

## Valuation Checklist

- ☐ **How does the P/E ratio compare to competitors?** (Relative value)
- ☐ **How does it compare to the company's historical average?** (Is it expensive vs. its own history?)
- ☐ **Does the price make sense given growth prospects?** (PEG ratio consideration)

## Narrative vs. Reality Checklist

- ☐ **What is the bear case?** (What are people worried about?)
- ☐ **What does the data actually show?** (Do financials support or contradict the narrative?)
- ☐ **Am I making decisions based on facts or emotions?** (Self-awareness check)

---

## Part 7: Putting It All Together

### Case Study Application

**Question 16:** Imagine you're considering investing in a company. Using the checklists above, what questions would you ask and what data would you look for before making a decision?

*Write your thoughts here:*

---

---

---

---

---

**Question 17:** What is the most important lesson you learned from Warren Buffett's Google investment?

*Write your thoughts here:*

---

---

---

---

**Question 18:** How will you apply this lesson to your own investment research and decision-making?

*Write your thoughts here:*

---

---

---

---

---

## Key Takeaways Summary

### The Big Ideas

1. **Contrarian Thinking Works:** When everyone is fearful, there may be opportunities in quality companies.
2. **Data Beats Narrative:** Always verify what people are saying with actual financial data.
3. **Economic Moats Matter:** Companies with strong competitive advantages can weather storms.
4. **Profitability is Key:** Focus on companies that generate real cash flow, not just hype.
5. **Relative Value Exists:** Even in expensive markets, you can find better deals by comparing similar companies.
6. **Cash is Strategic:** Having reserves lets you act when opportunities arise.
7. **Patience Pays:** Buffett is 94 and still learning and adapting. Investing is a lifelong journey.

---

## Continue Your Investment Education

You're tired of watching your money sit idle while inflation eats away at your purchasing power, aren't you? While others struggle with investment decisions, educated investors are building their knowledge with research-backed strategies. Felix & Friends provides educational resources and research to help inform your investment decisions.

With the Felix & Friends Stock Intelligence Bundle, you'll get:

Portfolio Review Call - Comprehensive discussion of your current holdings   2 Monthly Stock Research Reports - Analyzed using our fundamental criteria   Starter Stocks List - 12 companies we believe have strong fundamentals   Bonus Educational Reports - In-depth market analysis and insights   Community Forum Access - Connect with fellow investors sharing strategies   2 Daily BetterStocksGPT Searches - Access to our proprietary research tool



Sign up now at <https://felixfriends.org/services>

Remember, all investing involves risk including potential loss of principal, and there's no guarantee any investment strategy will be successful. Past performance doesn't guarantee future results and all investments carry risk of loss.

Ready to enhance your investment education and research capabilities? Get access to the Felix & Friends Stock Intelligence Bundle and start building your investment knowledge.

**Important Disclaimers:** Past performance is not indicative of future results. All investments involve risk of loss. Felix & Friends provides educational content and research opinions only, not personalized investment advice. Consult with a qualified financial advisor before making investment decisions. Individual results may vary.

---

## Notes & Additional Thoughts

Use this space to write down any additional questions, insights, or ideas you want to explore further:

---

---

---

---

---

---

---

---

---

---

© 2025 Felix & Friends. All rights reserved.

**Educational Use Only:** This workbook is designed for educational purposes and does not constitute investment advice, financial advice, trading advice, or any other sort of advice. You should not treat any of the workbook's content as such. Felix & Friends does not recommend that any investment decision be made based on this workbook. This workbook is not an offer to sell or a solicitation of an offer to buy any security or investment product. All investments involve risk, including possible loss of principal. Before making any investment decision, you should conduct your own research and consult with a qualified financial advisor.

**No Guarantees:** There are no guarantees of specific results from using the information in this workbook. Past performance is not indicative of future results. All investments carry risk of loss.

**Compliance:** This workbook is designed to comply with FTC and SEC regulations regarding educational content and investment-related materials. No claims are made regarding specific investment returns or performance guarantees.